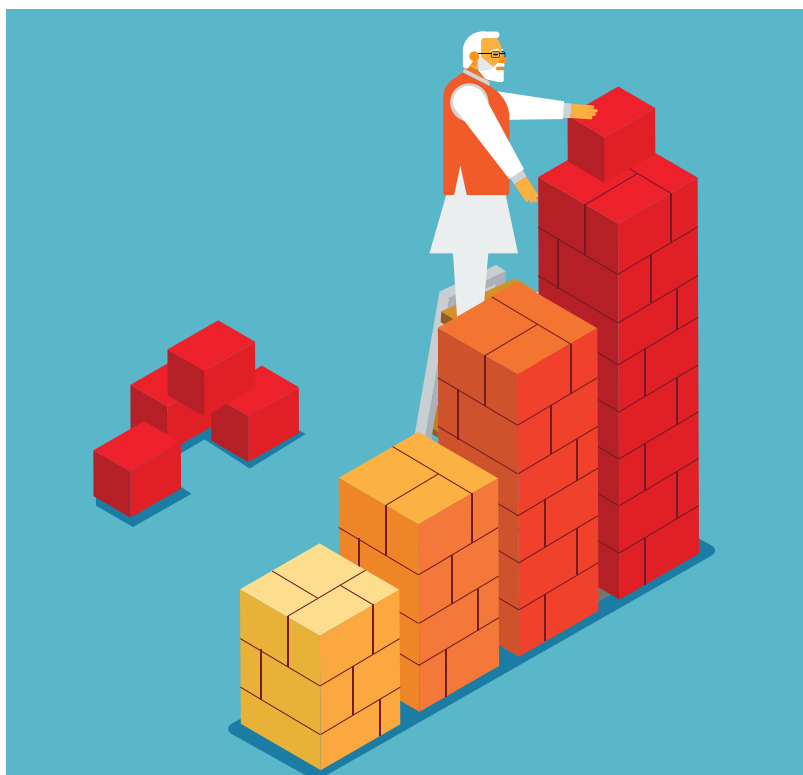
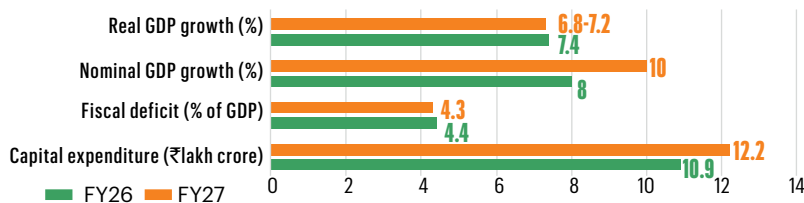




BUDGET: A BUILDING BLOCK FOR GROWTH



SOURCE UNION BUDGET 2026-27

BUDGET BLUEPRINT

Beyond the two mega trade deals, Finance Minister Nirmala Sitharaman presented a carefully crafted Union Budget 2026-27 that went beyond short-term goals and unveiled a medium-term strategy to boost growth, build domestic capacity and create jobs.

While the Budget may not have announced exciting reforms, it kept the pedal on measures to build self-reliance in emerging and sunrise sectors, support micro, small and medium enterprises that are the building blocks of the economy and India Inc, and prioritised capital ex-

penditure over fiscal consolidation.

Economic Affairs Secretary Anuradha Thakur says when the Budget was presented uncertainty was high. "The EU deal had just got signed. The Budget maintained continuity and consistency. We are sharpening focus on more strategic areas," she says, adding the focus is on infrastructure, services, industry and value addition in agriculture.

Capex is estimated at a record level of ₹12.2 lakh crore in FY27 while the fiscal deficit has been pegged at 4.3% of the GDP from 4.4% in FY26. Expenditure Secretary V. Vualnam says the "target

of 4.3% for fiscal deficit is an ideal number, and it should enable us to meet whatever expenditure requirements are there. At the same time, it reflects the government's commitment to fiscal prudence."

Measures such as income tax exemptions to data centres and toll manufacturing and expansion of safe harbour provisions are expected to give more certainty to foreign investors. Procedural reforms related to customs as well as exemption from basic customs duties for import of goods for lithium-ion cells for batteries, nuclear power projects, capital goods required for processing of critical minerals and components and parts used in civil aviation and defence are also expected to boost investments and domestic manufacturing. Officials say these provisions have nothing to do with US demands but are part of an organic process to improve domestic manufacturing capabilities.

Chachra of Morgan Stanley says the Budget signals a calibrated shift in the government's intent towards strengthening structural levers that can facilitate a sustained and productive growth trajectory.

The trade deals with the EU and now the US along with the Budget are expected to improve investor sentiment. But there is need for much more clarity on what happens next with the US. A crucial issue remains India's purchase of \$500 billion worth of US goods in the next five years, including energy products, aircraft and aircraft parts, precious metals, technology products, and coking coal. Apart from Boeing airplanes, India is looking to buy high-tech industrial goods from the US that are needed for producing goods such as semiconductors, chips, high quality machinery at a lower tariff. How such large quantities of imports will impact domestic